Utz Brands Inc. (UTZ) – Short Pitch

Recommendation

I recommend shorting **Utz Brands Inc. (UTZ)** because the market is still giving the company credit for margin recovery and successful national expansion, while the fundamentals suggest earnings expectations are too optimistic. UTZ operates in a mature packaged-snacks category where pricing power, input costs, distribution efficiency, and EBITDA conversion matter more than revenue growth. At around **$7.60 per share**, UTZ trades at roughly **9.9x 2027E P/E** based on estimated FY2027 EPS of **$0.77**. If margin expansion disappoints, I believe the stock can re-rate to **$4–$5 per share**, implying roughly **35–50% downside**.

Company Background

Utz is a U.S. salty-snack company with approximately **$1.4B in revenue**, with around **89% coming from branded products**. The company has historically been a Northeast regional player and is now attempting to become a broader national snack brand through distribution expansion and supply chain optimization. While UTZ has brand recognition, roughly **50% household penetration**, and over 100 years of history, it competes in a mature category against larger players with stronger scale, shelf space, and distribution power.

Investment Thesis

The short thesis is that UTZ is being valued like a company that can expand margins and grow nationally, but the current fundamentals do not fully support that expectation. The company's recent weak organic sales growth suggests demand is not strong enough to easily support continued price increases. In a price-sensitive snack category, consumers can switch to private label, healthier alternatives, or larger brands with stronger promotional support.

The main issue is margin pressure. UTZ has historically operated with low operating margins, and the market is assuming improvement from supply chain savings and better scale. However, elevated input costs, labor, freight, and promotional spending make that recovery harder. If UTZ cannot pass through higher costs without hurting volume, EBITDA and earnings growth will disappoint, forcing the stock to trade at a lower multiple.

The second issue is national expansion risk. Moving from a regional brand to a national competitor requires higher spending on distribution, marketing, and shelf placement. Larger competitors already have stronger retailer relationships and more efficient supply chains. If expansion does not translate into stronger organic sales growth, investors will begin to view UTZ as a lower-growth, lower-margin snack business instead of a national growth story.

Catalysts

The main catalyst over the next **6–12 months** is earnings disappointment from weaker margins and soft organic sales. If UTZ reports continued cost pressure, limited pricing power, or another period of weak organic growth, consensus estimates should move lower.

A second catalyst is slower-than-expected progress from national expansion. If UTZ continues spending to grow outside its core markets without meaningful organic sales acceleration, the market will question whether the expansion strategy can create real shareholder value.

A third catalyst is margin disappointment despite supply chain optimization. UTZ has reduced its plant count from **16 to 7**, but if those efficiency gains are offset by input costs, labor, freight, or promotional pressure, the margin recovery thesis weakens.

Valuation

UTZ should be valued using **P/E and EV/EBITDA**, not EV/Revenue. Revenue is not the main value driver for a mature CPG company. In packaged snacks, two companies can have similar revenue but very different values depending on their margins, pricing power, input cost exposure, and distribution efficiency.

Based on the current pitch price of **$7.60**, UTZ trades at approximately **9.9x 2027E P/E** using FY2027 EPS of **$0.77**. If using a 2028E EPS estimate of **$0.94**, the stock trades at around **8.1x 2028E P/E**. These multiples may look inexpensive on the surface, but they depend on the company actually delivering earnings growth. If margin recovery stalls, the “cheap” multiple becomes misleading because the EPS estimates will likely come down.

In my downside case, weaker organic growth and limited margin expansion would justify a lower earnings multiple and lower EPS expectations, supporting a share price closer to **$4–$5**. This represents about **35–50% downside** from the current pitch price of **$7.60**.

Risks

The main risk to the short thesis is that UTZ’s supply chain optimization works better than expected. If the company’s reduction in plant count from **16 to 7** produces faster margin improvement, EBITDA and earnings could come in above expectations.

Another risk is that geographic expansion performs better than expected. If UTZ gains share in new markets and organic sales growth accelerates, the market may continue giving the company credit for a national growth story.

However, given weak organic sales trends, limited pricing power, and ongoing cost pressure, I believe the risk/reward still favors the short. UTZ needs clear margin expansion to justify its valuation, and the evidence so far suggests that recovery is not guaranteed.